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Alignment of Interest of Designated Employees of Asset Management Companies with the Unit Holders

1. To protect investor interests and foster fiduciary responsibility, this circular establishes mandatory investment guidelines for Key Employees of AMCs.

2. Minimum Investment Requirement:
A minimum of 20% of the gross salary or perks of Designated Employees / Key Managerial Personnel (including Chief Executive Officer, Chief Investment Officer, and Fund Managers) shall be invested in units of the mutual fund schemes they manage or oversee.

3. Lock-in Period:
The mandatory scheme investment by Key Employees shall be locked in for a minimum period of 3 years or the tenure of the scheme, whichever is less.

4. Redemption Restrictions:
Designated employees cannot redeem units from the locked-in portfolio prior to the expiry of the lock-in period, except in circumstances of severe medical emergency or retirement with prior Trustee approval.

5. Risk-o-meter Alignment:
The allocation of compensation across schemes shall match the risk profile of the schemes under management as classified in the monthly Risk-o-meter disclosures.